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Post-Keynesian Economic Theory: An Overview and Evaluation

By JAMES R. CROTTY*

The degree to which the economics profession is intellectually and emotionally committed to the prevailing macro-economic "orthodoxy" is characterized by a clearly discernible historical ebb and flow. This coincides with the so-called long waves of economic history wherein eras of generalized prosperity and rapid growth alternate with periods of slow growth and instability. Predominantly prosperous periods convince economists that a capitalist economy functions quite smoothly provided that the government properly handles its economic responsibilities. The onset of serious economic dislocation, on the other hand, sows the seeds of doubt. The belief that there is a fundamental flaw in orthodox theory spreads and an increasing number of economists become heretics. Interest develops in new theories which offer more plausible explanations for, and resolutions of, the economic crisis.

In the Great Depression John Maynard Keynes challenged the generally accepted view that laissez-faire capitalism provided an adequate economic foundation for society, fighting vigorously against bankrupt policies based on that theory. He also opened up a wide-ranging debate concerning the nature of capitalist macro dynamics and the appropriate form of state intervention in the economy. The economic instability of the 1970's has generated another crisis in economic theory. The prevailing orthodoxy is again under assault, its theory increasingly seen as inadequate, and its policies increasingly viewed as impotent.

The Post-Keynesians have been among the most influential of the anti-orthodox

schools. Divided on many questions of theory and policy, they are relatively unified in their belief that what has passed for Keynesian orthodoxy in the United States for a generation is in fact, to use Joan Robinson's phrase, a "bastard" Keynesianism that grossly distorts Keynes' own work. Inspired by Keynes' battle against the status quo in the 1930's, they have been waging what they consider to be the Second War for Intellectual Independence in macro-economic theory and policy.

I. The Two Main "Wings" of Post-Keynesian Economics

The label Post-Keynesian has been applied to a large number of economists who often have little in common beyond an acknowledged intellectual debt to Keynes (although for some Michal Kalecki, David Ricardo, Karl Marx, or Piero Sraffa may be even more influential) and a dissatisfaction with orthodox theory. For descriptive convenience I will use the term "Keynesian" in a very unconventional way, in reference to the widest set of Keynes-influenced critics of neoclassical or bastard Keynesian orthodoxy. Within this set I will distinguish between two major groups, using the term Neo-Keynesians (hereafter N-K) to refer to the largely Cambridge-based or the Cambridge-inspired set of growth theorists such as Robinson, Nicholas Kaldor, and Luigi Pasinetti, who have been building on the seminal work of Keynes, Kalecki, and Roy Harrod, and using the term Post-Keynesians (hereafter P-K) to identify those Keynesians, such as Paul Davidson, Hyman Minsky, G. L. S. Shackle, Sidney Weintraub, and the ubiquitous Robinson, who stress the importance of uncertainty and finance in their work (see Alfred Eichner

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and Jan Kregel for a more complete scorecard).

Keynes never developed the insights of *The General Theory* into an adequate, long-run model. Harrod was the first to incorporate the important conclusions of *The General Theory* in a model of capital accumulation. Writing at the end of the Great Depression, he attempted to prove in a dynamic setting that "sooner or later we will be faced again with stagnation." In his model, the temporary attainment of full employment is possible but not likely, and if reached, is not stable. Moreover, entrepreneurial expectations are a prime determinant of the actual rate of capital accumulation.

The neoclassical growth models first developed by Robert Solow, Trevor Swan, and James Tobin in the prosperous and politically stable 1950's were an attempt to counter Harrod's view of capitalist instability and stagnation. These neoclassical models are dramatically anti-Keynesian in their vision of capitalism. They are balanced, full-employment growth models. Planned savings and planned investment are assumed to be identical *ex ante*—Say's Law holds. Disappointed entrepreneurial expectations are of no consequence. History is irrelevant because capital is instantly and costlessly malleable.

The Neo-Keynesian school has been attacking the realism and logical consistency of the neoclassical theory of capital, growth and distribution ever since. They insist, as did Keynes, that savings does not determine investment, but rather the reverse. The N-Ks take the historic rate of accumulation in any era as exogenously given and ask: What conditions would be required for this rate to be reproduced over time? The class distribution of income plays a key role in the answer. Assuming that propensities to save differ among classes (and institutions), the distribution of income *must* adjust such that the given rate of investment is adequately financed.

Thus, the vision of the capitalist economy reflected in N-K models is fundamentally different from the neoclassical vision. In

neoclassical theory the equilibrium rate of growth is determined by the rate of growth of the labor force and the rate of technical change, both exogenous. Factor prices are adjusted via the forces of supply and demand operating in perfectly competitive markets to ensure the continuous full employment of capital and labor. The ratio of capital to labor (or choice of technique) is thus guided by relative factor prices. The equilibrium profit and wage rate are equal to the marginal product of capital and labor, respectively. In N-K theory the exogenous strength of accumulation ultimately determines the equilibrium rate of profit (without reference to marginal productivity) by way of the classical savings function. Thus, N-K theory focuses on the *distributive* role of factor prices in adjusting savings to investment, while neoclassical theory sees them in their *allocative* function as signals of relative factor scarcity to entrepreneurs.

What determines the historic rate of accumulation in N-K theory? Robinson's answer: "To account for accumulation, we have to fall back upon human nature and the structure of society" (p. 15). In Keynesian theory the entire set of economic, political, and social institutions influence the process of accumulation, which itself alters the nature and articulation of these institutions.

The other major wing of the Keynesian revival, the Post-Keynesians, are primarily interested in understanding the process through which investment, savings, and financing decisions are determined in a monetary economy in which the future is uncertain, production takes time, the capital stock is not malleable, and an efficient spot market for durable goods does not exist. This was the economy Keynes analyzed in *The General Theory*. The Hicks-Samuelson counterrevolution in short-run theory replaced it with a counterfeit model that abstracted from these central Keynesian attributes. The P-Ks have helped a new generation of American economists discover the "genuine" *General Theory*.

Keynes believed that in a real world market economy of decentralized decision makers, it is *in principle* impossible for the

economic agents to be provided with the information they require to undertake a set of individual commitments and actions which would ensure continuous full employment. Wealth holders face a crucial decision about the financial forms in which to store wealth over time, and corporations have to make critical judgments concerning real capital investment and its financing. To confidently make optimal decisions in these areas requires complete information concerning the behavior of prices, products, and profits for decades into the future, information which an unplanned economy cannot possibly provide. Concerning these data, Keynes commented "...there is no scientific basis on which to form any calculable probability whatever. We simply do not know" (p. 214). Therefore, the most crucial economic decisions must, by their very nature, be made largely in ignorance and uncertainty. In this uncertain world, it is ephemeral expectations, unpredictable waves of optimism and pessimism, and "animal spirits" which decisively influence investment, and therefore income and employment as well.

These central features of real world capitalism which the P-Ks stress in their analysis make them suspicious of any macro theory characterized by a stable, equilibrium perspective, whether it be neoclassical growth theory, short-run *IS-LM* models, monetarism, or even N-K steady-state growth models such as those of Kaldor or Pasinetti. What emerges most clearly in the P-K vision is instability and disequilibrium.

II. Other Aspects of the Keynesian Critique

It should be clear that there are substantial differences between N-K theory and P-K theory. However, the two wings of the Keynesians agree, though for rather different reasons, that investment demand cannot be represented as a stable, downward-sloping function of the rate of interest as required in both neoclassical growth theory and orthodox short-run macro theory.

The P-Ks have revived the argument presented by Keynes in *The General Theory* to show that the investment function is unstable. Keynes insisted that the marginal efficiency of capital is a function of the expected, future cash flow of investment projects. Because the future is uncertain, entrepreneurial expectations will often be volatile and unstable. Therefore the marginal efficiency of capital is itself unstable and investment demand cannot be considered to be a stable function of the interest rate in real time (see Douglas Vickers).

Neo-Keynesians such as Pierangelo Garegnani, Robinson, and Sraffa have rigorously demonstrated that there can be no logically consistent index of the aggregate quantity of capital associated with a vector of heterogeneous capital goods which is independent of the rate of interest. Since any such index will alter in value with every change in the rate of interest, one cannot generate the neoclassical function relating investment demand to the rate of interest through standard supply and demand theory. Capital reversal and the reswitching of techniques of production demonstrate that capital per worker may alternatively rise and fall as the rate of interest declines, proving that investment is not necessarily a monotonic function of the rate of interest.

Robinson has generalized this attack, arguing that the analysis of the process of moving *along* any neoclassical function violates the *ceteris paribus* assumptions logically required for the construction of the curve. A comparison between different long-run equilibrium states is legitimate, but a neoclassical analysis of the process of moving from one to another is not.

If, as the N-Ks argue, investment demand is not a monotonic, inverse function of the rate of interest, then the neoclassical macro-economic vision of supply and demand in competitive markets guiding the allocation of capital and labor through relative factor price movements to ensure balanced full-employment growth is unconvincing. If, as the P-Ks argue, the investment function is unstable, then the Hicks-Samuelson short-run *IS-LM* model is

basically flawed; its comparative static analysis illegitimate. These seemingly unrelated critiques of orthodoxy turn out to be complementary.

There are many other areas of theory in which the Keynesians have made interesting and important contributions. In N-K theory, the process of capital accumulation *per se* has been placed at the center of economic dynamics, with savings decisions seen as adaptive and largely institutionalized. Unexplained preferences of isolated individuals with respect to consumption patterns over time have been removed from center stage. Capital accumulation is seen as an autonomous, self-sustaining process (see Nina Shapiro). Once it has taken hold in an era, it tends to *create* the micro conditions necessary for its reproduction. Thus, the standard logical relation between microeconomics and macroeconomics is reversed and Marx's question is posed once again: *What is the macro foundation of microeconomics?* Also, the work of those P-Ks who stress the importance of debt and financial intermediation in macroeconomics has been especially helpful in understanding the 1970's, a decade of rising debt and liquidity problems.

In different ways, both the P-Ks and the N-Ks have refocused attention on the issue of income distribution. There is a tendency among P-Ks in particular to explain the inflation of the past decade by reference to distributional struggle among classes. This is a refreshing change from monetarist stories of exogenous increases in the supply of money.

III. Some Problems in Keynesian Theory

For all its accomplishments, Keynesian theory is not without its shortcomings. Foremost among these, in my view, is that taken as a whole, the Keynesian tradition has not made much progress in developing a theory of the complex process through which economic growth, in the short and in the long run, *endogenously* generates those impediments or constraints which prevent its perpetuation. Their theory does not reflect the self-limiting nature of the capitalist growth

process nor the functional nature of recessions and depressions in recreating the preconditions for renewed accumulation.

Consider the business cycle. When expansions mature and the "reserve army" of the unemployed declines, a number of impediments to the continuation of growth inevitably develop: the rate of growth of productivity falls below that of real wages causing profit rates and profit margins to decline; debt finance accelerates just when interest rates are rising; the "overinvestment" of the mid-boom leads to excess capacity in many sectors; balance of trade problems develop creating pressure on the exchange rate, etc. The 1960's boom is a textbook example of this process (see the paper by Leonard Rapping and myself). The boom can neither be guided through these obstacles by the market system nor fine tuned around them through policy manipulation. Under existing institutions, as 1974–75 demonstrated once again, recessions remain a necessary condition for the restoration of accumulation.

The idea of an endogenously generated crisis and functional depression has always been at the core of Marxian theory. Keynesians, on the other hand, either assume that accumulation is balanced or stress the potential which exists for instability rather than theorizing about a standard pattern of expansion and contraction. Minsky's excellent work on the relationship of uncertainty and finance to the business cycle (which abstracts from most nonfinancial impediments to growth) is an obvious exception to the general rule.

The typical Keynesian enterprise is an oligopolistic firm which sets its prices by choosing a markup over unit prime cost. Following Kalecki, the markup has traditionally been assumed constant in the short run. Recently, it has even been assumed that firms have the power to vary their markup to assure the adequate financing of planned investment—implying that savings is always equal to planned investment *ex ante*. Any increase in unit labor costs is either passed on, or more than passed on, by the firm in the form of higher prices with no threat to

profits. Thus, financial impediments to accumulation do not exist. This micro model is consistent with N-K growth theory in which attempts to raise the rate of accumulation at full employment generate an accommodating *fall* in the real wage rate and a rise in profit margins, thereby adjusting the amount saved to match the desired increase in investment. Finally, since the Keynesian theory of the firm does not recognize Marx's conceptual distinction between labor and labor power, it has no analytical mechanism through which a more militant work force can cause productivity problems in tight labor markets.

For a substantial subset of the Keynesians then, unless inflation per se is seen as unacceptable, accumulation can roll on forever. The Kaldor-Pasinetti growth models are examples of this genre. Post-Keynesians, of course, emphasize potential instability. Like most Keynesians, however, they fail to see intermittent economic crises as the inevitable outcome of periods of rapid growth as well as a necessary condition for the renewal of the accumulation process.

Post-Keynesian inflation theory is also problematic. Their discussions about distributional struggle are curious because, within the markup pricing framework, distribution is *technically* determined. Powerful labor unions are assumed to be able to push up money wages when labor markets tighten. Corporation managers are seen as too weak to resist labor pressure, so they meekly pass on rising wage costs. Collective labor action is thus assumed to cause inflation and regressively redistribute the wage bill among workers, while leaving the distribution of income between classes unchanged. Traditional anti-inflationary macro policies are considered ineffective or even counterproductive because money wage determination is seen as unaffected by increased unemployment and the markup is unresponsive to, or even rises with, increased excess capacity.

One problem with this Post-Keynesian treatment of inflation is that some of its assumptions are of questionable empirical validity. Profit margins exhibit pronounced

cyclical variability. Contrary to Keynesian assertions, relatively full employment typically brings *falling* profit margins and a *rising* wage share of income (see the paper by Raford Boddy and myself). The Keynesian view of "class struggle" is inadequate because it neglects antagonistic class relations within the enterprise. Yet low unemployment reduces labor "discipline" on the shop floor and increases union power to interfere with management's prerogatives with respect to technical change and the organization of the labor process, thereby contributing to the slowdown in the rate of growth of labor productivity that accompanies full employment. The contention that full-employment-induced wage pressures cause an increase in race, sex, and skill income differentials among workers is also factually incorrect. Finally, the picture they draw of the giant multinational corporation as pathetic, impotent, and defenseless in its confrontation with labor is quite unconvincing.

Post-Keynesians also seriously underestimate the impact that deep or prolonged recessions have on inflation. Rising unemployment threatens the job security and alters the working conditions of millions of *employed* workers. It is not only labor's expectations but also their relative power which is affected. Virtually every economic slowdown or recession in the past thirty years has reduced the rate of inflation. The recession of 1974-75 cut the rate of inflation in half. Of course it also threatened domestic and international financial stability, generated widespread protectionism, and led to a political crisis in much of Western Europe. Under current conditions, recession is indeed a dangerous policy tool.

Most Keynesians support some form of incomes policy, but they disagree on the character of the government intervention required. Some support a relatively simple scheme like the tax-based incomes policy. Others propose the complex and ambitious programs suggested by N-K theory, calling for the political determination of the rate and composition of investment, as well as distribution and pricing. They believe that

these programs are achievable through the voluntary association of all major economic interest groups within the political process. In this "pluralist" political process, each group will be willing to participate because it will have at least as much control over the decisions of the proposed town meeting of interest groups as it currently does over developments in the economy (see Eichner).

This political vision is unrealistic. Like Keynes' own theory of politics, it fails to appreciate the immense power that the corporations derive from their exclusive control of capital investment, and thus of jobs and income. If economic conditions do not suit them they stop investing, threatening the economic security of tens of millions of workers. A popular groundswell soon develops in support of whatever government or union concessions are required to induce these corporations to end their "capital strike"—a strike not subject to Taft-Hartley resolution. Why should corporate capital willingly give up the use of this power unless it is given at least as much control over the proposed political institutions which will administratively determine the nature of growth and distribution? The Keynesians could learn a lesson in political realism from Joseph Schumpeter, who argued that investment failed to rebound in the expansion of 1934–37 precisely because corporations conducted a capital strike in protest against

what they perceived to be a hostile political, economic, and social environment.

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